**THE NATIONAL COMPANY LAW TRIBUNAL**
**CHANDIGARH BENCH (COURT-II), CHANDIGARH**

**CP (CAA) No. 22/Chd/Hry/2024**
**(2nd Motion)**
**Connected with**
**CA (CAA) No.18/Chd/Hry/2024**
**(1st Motion)**

**Under Sections 230 to 232 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016, and the National Company Law Tribunal Rules, 2016**

**IN THE MATTER OF SCHEME OF AMALGAMATION OF**:

**BUSY INFOTECH PRIVATE LIMITED.**
(CIN: U72200HR1997PTC120184) (PAN: AAACB5022A)
Having its registered office at
Plot No.60, Ground Floor, Sector-18, Opposite Police Station
Gurugram, Haryana-122016

…Petitioner No.1/ Transferor Company No.1

And

**HELLO TRADE ONLINE PRIVATE LIMITED.**
(CIN: U51909HR2008PTC120183) (PAN: AACCH1466J)
Having its registered office at
Plot No. 60, Ground Floor, Sector-18, Opposite Police Station
Gurugram, Haryana-122016

…Petitioner No.2/ Transferor Company No. 2

With

**TOLEXO ONLINE PRIVATE LIMITED.**
(CIN: U72200HR2014PTC120179) (PAN: AAFCT0145B)
Having its registered office at
Plot No. 60, Ground Floor, Sector-18, Opposite Police Station
Gurugram, Haryana-122016

… Petitioner No.3 /Transferee Company

**Order delivered on: 17.01.2025**

**Coram: HON'BLE HARNAM SINGH THAKUR, MEMBER (JUDICIAL)**
**HON'BLE UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)**

**Present:**

| | | |
|---|---|---|
| For the Petitioner Companies | : | Mr. Rajeev K. Goel and Mr. Kartikeya Goel, Advocates |
| For the Regional Director/ Registrar of Companies | : | Mr. Vineet Khatri, Company Prosecutor |
| For the Income Tax Department | : | Mr. Yogesh Putney, Senior Standing Counsel |
| For the Official Liquidator | : | Mr. Edward Augustine George, Advocate |

**Per: Mr. Harnam Singh Thakur, Member (Judicial)**
**Mr. Umesh Kumar Shukla, Member (Technical)**

**JUDGMENT**

This 2nd Motion Joint Company Petition (hereinafter referred to as the "**Petition**") has been filed under the provisions of Sections 230 & 232 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as the "**CAA Rules**"), and the National Company Law Tribunal Rules, 2016 (hereinafter referred to as the "**NCLT Rules**") by the Busy Infotech Private Limited (hereinafter referred to as the "**Petitioner No.1**" or "**Transferor Company No.1**"), Hello Trade Online Private Limited (hereinafter referred to as the "**Petitioner No.2**" or "**Transferor Company No.2**") and Tolexo Online Private Limited (hereinafter referred to as the "**Petitioner No.3**" or "**Transferee Company**") to obtain sanction of this Tribunal to the Scheme of Amalgamation of Transferor Company No.1 and 2 with Transferee Company and various other matters incidental, consequential or otherwise integrally connected with the aforesaid Amalgamation, if any (hereinafter referred to as the "**Scheme**"). The copy the Scheme is annexed as Annexure: P-I to the Petition.

2. All the Petitioner Companies are private limited closely held group companies under the common management and control and are wholly owned subsidiaries of a common parent company- Indiamart InterMESH Limited.

3. The Petitioner Companies had filed First Motion Joint Company Application bearing CA (CAA) No.18/Chd/Hry/2024 before this Tribunal for seeking directions for dispensing with the requirement of convening of meetings of Equity Shareholders, Preference Shareholders Secured Creditors and Unsecured Creditors of the Petitioner Companies, which was allowed and disposed of vide Order dated 03.07.2024, with the directions to dispense with the requirement of convening of meetings of above stakeholders of the Petitioner Companies for the reasons mentioned in the aforesaid order. A copy of the said order has been attached as Annexure P-19 of the Petition.

4. In the second motion proceedings, this Tribunal vide Order dated 26.07.2024, issued the following directions to the Petitioner Companies:

(i) Publish the notice of hearing in the newspapers namely “Business Standard” (English, Delhi NCR Edition) and “Jansatta” (Hindi, Delhi NCR Edition).

(ii) Serve the notice of the Petition on the Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi; Registrar of Companies, NCT of Delhi and Haryana; the Official Liquidator, Chandigarh; Income Tax Department and Reserve Bank of India, Chandigarh.

(iii) File an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(iv) File an affidavit stating the objections received from public pursuant to publication of notice of hearing in the newspapers.

5. The Petitioner Companies filed an affidavit dated 16.08.2024, vide diary no. 02155/01 dated 23.08.24, stating that:

(i) The notice of hearing of the Petition was published in the newspapers, "Business Standard" (English, Delhi NCR Edition) and "Jansatta" (Hindi, Delhi NCR Edition) both dated 2nd August, 2024. The original cuttings of the newspapers have been enclosed as Annexure 1 (Colly.) of the affidavit.

(ii) The notice of the Petition was served to the following Statutory Authorities along with the Scheme, complete Paper Book of the Company Petition and other relevant papers:

(a) The Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Pt. Deen Dayal Antodaya Bhawan, CGO Complex, New Delhi-110003, on 5th August, 2024, by hand.

(b) The Registrar of Companies, Delhi and Haryana, Ministry of Corporate Affairs, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi 110019, on 5th August, 2024, by hand.

(c) The Official Liquidator, Ministry of Corporate Affairs, 2nd Floor, Plot No. 4B, Sector-27 B, Madhya Marg, Chandigarh-160019, on 6th August, 2024, through Speed Post (ED630656953IN).

(d) The Income Tax Department, through the Principal Chief Commissioner of Income Tax, North West Region, Aaykar Bhawan, Sector-17-E, Chandigarh-160 017, on 6th August, 2024, through Speed Post (ED630657070IN) and E-mail as well as in the respective

Circle/Ward of the Income Tax Department, where applicant companies are assessed quoting respective PAN of each Company.

(e) The Reserve Bank of India, Central Vista, Sector-17, Chandigarh160017, on 8th August, 2024, through Speed Post (ED630658906IN).

The copies of the proof of service of notice to the aforesaid Statutory Authorities, in original, were enclosed as Annexure: 2(Colly) with the Affidavit.

(iii) There is no other sectoral regulator/ statutory authority, who may have significant bearing on the operations of the Petitioner Companies, so notice is not required to be serve on any other sectoral regulator/ statutory authority.

6. The Petitioner Companies filed another affidavit dated 11.09.2024 vide Diary No. 02155/4 dated 13.09.24 confirmed that neither the Petitioner Companies nor their Legal Counsel has received any objection/representation from any person against the Petition or the proposed Scheme till the date of filing of this Affidavit.

7. In response to the notices to the statutory authorities, the status of replies has been discussed in the following paragraphs.

**Registrar of Companies/ Regional Director**

8. The Regional Director (hereinafter referred to as the "**RD**"), vide Dairy No 02155/5 dated 19.09.2024, filed its report enclosing therewith the report of the Registrar of Companies (hereinafter referred to as the "**RoC**").

(i) Besides the general observations, the RD in para 10 of his report referring to para 31 of the RoC report has made certain observations and in para 11 of the report has mentioned the reply of the Petitioner Companies vide letter dated 09.09.2024, which are summarized below:

| SN | Observations of RD/RoC | Reply of the Petitioner Companies |
|---|---|---|
| (i) | In the Auditors Report for year ended 31.03.2024 of Transferor Company No.1, the Auditor has stated that: "The feature of recording audit trail (edit log) facility was not enabled at the database level to log any direct data changes for the accounting software used for maintaining its books of accounts. The feature of recording audit trail (edit log) facility was to enabled at the application level of the accounting software used for maintaining its books of accounts for the period from 01.04.2023 to 28.01.2024. Further, Audit Trail (edit log) facility was not enabled for full year in relation to certain master data records of such accounting software. The accounting softwares relating to revenue did not have the feature to audit trail (edit log) facility." | From 01.04.2023, the Companies Act, 2013 introduced a new requirement of using such accounting software, which has a feature of recording audit trail of each and every transaction. The Transferor Company No.1 made necessary changes/ updation in its accounting software to meet the aforesaid legal requirements. However, it could only partially implement those changes. Accordingly, the Auditor has pointed out the same in its Auditors' Report for the year ended 31.03.2024. It is confirmed that the Transferor Company No.1 is fully compliant with the aforesaid requirement with effect from 08.04.2024. Accordingly, no public interest was adversely affected by partial non-implementation of the audit trail facility in the accounting software. |
| (ii) | In the auditor's report for the year ended 31.03.2024 of transferor Company No. 2 auditor has stated that: "Based on our examination test check, the company has used accounting software for maintaining its books of accounts, which has a feature | From 01.04.2023, the Companies Act, 2013 introduced a new requirement of using such accounting software, which has a feature of recording audit trail of each and every transaction. The Transferor Company No.2 made necessary changes/ updation in its accounting software to meet the aforesaid legal requirements. However, it could only be fully implemented from 30.06.2023. Accordingly, |

| | | |
|---|---|---|
| | of recording audit trail (edit log) facility except that for the accounting software" | the Auditor has pointed out the same in its Auditors' Report for the year ended 31.03.2024. Further, there were limited number of transactions in the Transferor Company No.2 during the 1st Quarter of the financial year ended 31.03.2024. Accordingly, no public interest was adversely affected by partial non-implementation of the audit trail facility in the accounting software. |
| (iii) | In the Auditor's report for the year ended 31.03.2024 of Transferor Company No.2, Auditor has stated that the Company has incurred cash losses of Rs.60 Thousand in the current financial year and preceding financial year respectively. | The statement made by the Statutory Auditors on the financial position of the Transferor Company No.2 is a factual disclosure. However, it has a positive Net Worth of Rs.1,52,000 as on 31.03.2024. Further, under the Companies Act, 2013 and other applicable provisions, if any, there is no bar on the amalgamation of loss-making companies. |
| (iv) | As per the financial statements for year ended 31.03.2024 of Transferor Company no.2, the company does not have any revenue from its operations since last two financial years. Therefore, the company appears to be dormant u/s 455 of the Companies Act, 2013. | The Transferor Company No.2 had been engaged in conducting domestic trade and international business facilitation, including sales, marketing, operational, technological, information processing and other trade and business-related services. It is an active company and has various other assets and liabilities. It is confirmed that it is not a Dormant Company within the meaning of Section 455 of the Companies Act, 2013. Further, Section 455 provides a facility to the companies, which are formed for future projects, etc., to register as dormant companies and avail the facility of making fewer compliances and filing of fewer documents as against an active company. The Companies Act, 2013, gives a choice to certain companies to register themselves with the RoC as a Dormant Company and avail certain relaxation from compliances and filings. In terms of the provisions of Section 455(4) of the Companies Act, 2013, the RoC can issue a notice to a company, which has not filed its Financial Statements or Annual Return for two consecutive financial years and designate such company a dormant company. Since, the Transferor Company No. 2 is regularly filing its Financial |

| | | |
|---|---|---|
| | | Statements and Annual Returns, no such notice was issued by the ROC to it.<br>It is confirmed that the Transferor Company No.2 has been making all the applicable compliances and filing various documents under the Companies Act, 2013, as an active company. Even in the record of the RoC, it is shown as an active company as per the copy of Master Data, as available on the MCA Portal. |
| (v) | In the Auditors Report for year ended 31.03.2024 of Transferee Company, Auditor has stated that:<br>"Based on our examination test check, the company has used accounting software for maintaining its books of accounts which has a feature of recording Audit Trail (edit log) facility except that for the accounting software." | From 01.04.2023, the Companies Act, 2013 introduced a new requirement of using such accounting software, which has a feature of recording audit trail of each and every transaction. The Transferee Company made necessary changes/ updation in its accounting software to meet the aforesaid legal requirements. However, it could only be fully implemented from 30.06.2023. Accordingly, the Auditor has pointed out the same in its Auditors' Report for the year ended 31.03.2024. Further, there were limited number of transactions in the Transferee Company during the first quarter of financial year ended 31.03.2024. Accordingly, no public interest was adversely affected by partial non-implementation of the audit trail facility in the accounting software. |
| (vi) | As per the financial statements for year ended 31.03.2024 of Transferee Company, there are some statutory dues which have not been deposited with the appropriate authorities on account of any dispute, which is pending with CIT (Appeals). | The Transferee Company has some pending statutory dues, which are under appeal before the CIT (Appeals). It is confirmed and undertaken that all the pending statutory dues will be paid as per the outcome of the pending appeals, in accordance with the applicable provisions of law. Further, the Transferee Company will remain in existence even after the approval of the Scheme. Hence, sanction of the present Scheme by the Tribunal will not adversely affect the interest of the Income Tax Department or any other Statutory Authority in any manner. |
| (vii) | As per the Auditor's report for year ended 31.03.2024 of Transferee Company, "Company has incurred cash losses of Rs.1281 thousand and Rs.2119 | The statement made by the Statutory Auditors on the financial position of the Transferee Company is a factual disclosure. In fact, it has, incurred losses and has a negative net worth, but it is confirmed that it is discharging all its liabilities. |

| | | |
|---|---|---|
| | thousands in current financial year and in the immediately preceding financial year respectively." | Both the Transferor Companies No.1 & 2 and the Transferee Company are private limited closely held Group Companies under the common management and control. The Transferor Companies No.1 & 2 and the Transferee Company are wholly owned subsidiaries of a common Parent Company- IndiaMART InterMESH Limited. To revive these Companies, it is decided to consolidate both the Transferor Companies and the Transferee Company, combine their financial resources and the business activities into a single entity. The proposed amalgamation is in the larger interest of these Companies, their shareholders, employees and other stakeholders and all concerned.<br>Further, under Companies Act, 2013 and other applicable provisions, if any, there is no bar on the amalgamation of loss making companies. None of the Transferor Companies or the Transferee Company has any secured creditors.<br>In view of the above, it is submitted that it is in the larger public interest that all these companies are merged together through the present scheme of amalgamation. |
| (viii) | The Transferee Company may kindly be directed to comply with the provisions of section 232 (3)(i) of the Companies Act, 2013 regarding fee payable on its revised Authorized Share Capital. | Clause 19.1 of the Scheme clearly provided that in terms of the provisions of section 232(3)(i) of the Companies Act, 2013, the Transferee Company will pay the balance fee and other charges, if any, on the increase in its authorised share capital pursuant to the scheme. It is again confirmed that the Transferee Company will comply with the provisions of section 232(3)(i) of the Companies Act, 2013, and other applicable provisions, if any, and make the requisite payment to the RoC and other authorities, if any, on increase of its authorised capital subsequent to the sanction of the Scheme. |

(ii) During the course of the hearing dated 09.10.2024, the Company Prosecutor for the RD stated that after going through the response of Petitioner Companies, there is no adverse observation/ objections against the Scheme on behalf of the RD.

**Official Liquidator**

9. The Official Liquidator (hereinafter referred to as the "**OL**") filed its report dated 09.09.2024 vide dairy no. 2155/3 dated 10.09.2024 and the Petitioner Companies vide its Reply/Affidavit dated 07.10.2024 to the OL Report vide diary no. 02155/14 dated 08.10.2024

(i) The observation in OL report and its reply by the Petitioner Companies are as below:

| OL Observation | | Petitioner Companies Reply |
|---|---|---|
| *Particulars* | *Loans (in Lakhs)* | As disclosed in the Audited Financial Statements of the Transferor Company No. 1 for the Financial Year ended 31st March, 2024, the Company has opened the fixed deposit in the Nature of inter-corporate deposits to the tune of Rs. 1,600 Lakhs during Financial Year 2023-24. This is a factual disclosure and does not require any clarification.<br><br>It is however, pertinent to note that the Statutory Auditors of the Company in para (iii)(b) of Annexure: A of their Audit Report have confirmed that the investments made and terms and conditions of the grant of loan in the nature of inter-corporate deposits are prima facie, not prejudicial to the interest of the Company.<br><br>In terms of the Scheme of Amalgamation, the aforesaid inter-corporate deposits shall be transferred and vested in the Transferee Company. |
| *Aggregate amount providing/granted during the year: Other (Inter-corporate Deposits)* | *1600* | |
| *Balance outstanding as at balance sheet in respect of above cases: Other (Inter-corporate Deposits)* | *643* | |

(ii) The Petitioner Companies also submitted that the observation(s) made by the OL are factual information, reproduced from the Auditor's Report of the Transferor Company No.1 and OL has not raised any objection against the proposed Scheme.

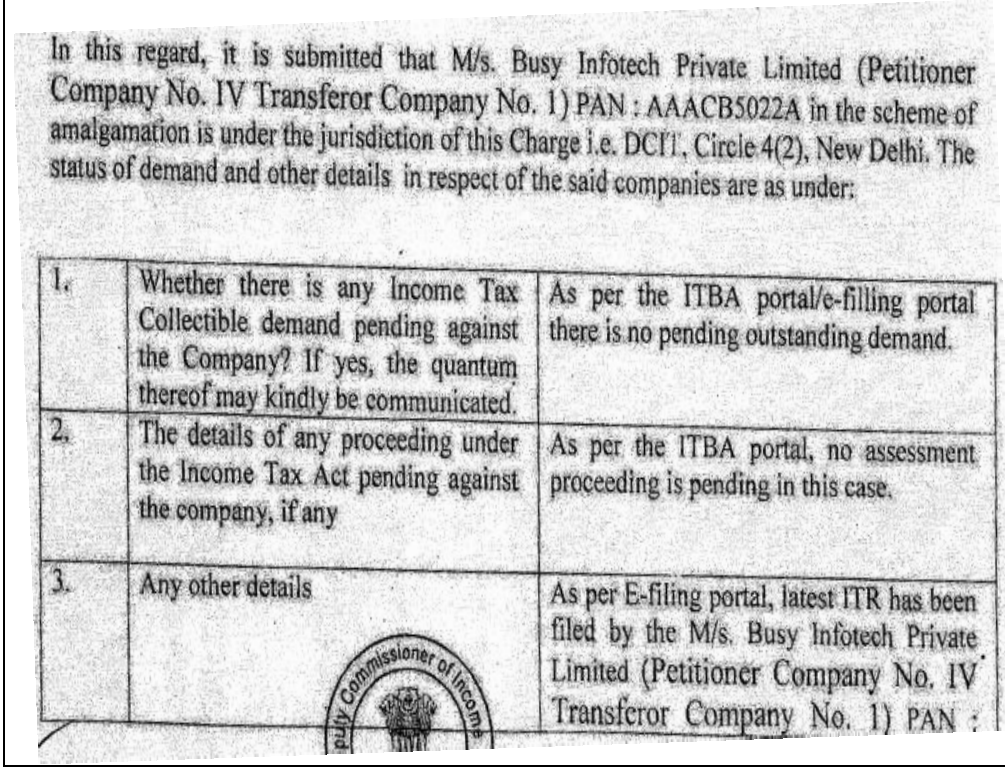
(iii) During the course of the hearing dated 09.10.2024, the counsel for Official Liquidator stated that after perusal of the response of the Petitioner Companies, the office of OL has no objection and is satisfied with the response of the petitioner companies.

**Income Tax Department**

10. The Income Tax Department (hereinafter referred to as the "**ITD**") filed its report vide diary no. 02155/2 dated 09.09.2024 for all the Petitioner Companies and the Petitioner Companies filed their reply to the report of the Income Tax Department vide diary no. 02155/6 dated 08.10.2024.

(i) The ITD in its reports has shown the status of demand and proceedings and thereafter has given 'No Objection' to the Scheme as below:

**Petitioner No.1/ Transferor Company No.1: Busy Infotech Private Limited**



In this regard, it is submitted that M/s. Busy Infotech Private Limited (Petitioner Company No. IV Transferor Company No. 1) PAN : AAACB5022A in the scheme of amalgamation is under the jurisdiction of this Charge i.e. DCIT, Circle 4(2), New Delhi. The status of demand and other details in respect of the said companies are as under:

| | | |
|---|---|---|
| 1. | Whether there is any Income Tax Collectible demand pending against the Company? If yes, the quantum thereof may kindly be communicated. | As per the ITBA portal/e-filling portal there is no pending outstanding demand. |
| 2. | The details of any proceeding under the Income Tax Act pending against the company, if any | As per the ITBA portal, no assessment proceeding is pending in this case. |
| 3. | Any other details | As per E-filing portal, latest ITR has been filed by the M/s. Busy Infotech Private Limited (Petitioner Company No. IV Transferor Company No. 1) PAN : |

| | | |
|---|---|---|
| | | AAACB5022A for A.Y.2023-24. All tax assessment proceedings and appeals of whatsoever, nature by or against the above said Company, pending or arising as at the effective date shall be continued and/or enforced by or against the Company in the same manner and to the same extent as would or might have been continued and enforced against Company,<br>The Department reserves its right to determine the tax implications of the under the scheme of reduction in share capital of company in accordance with the provisions of the I.T. Act, 1961 and the provisions of the I.T. Act, 1961 shall prevail over anything contrary provided under the scheme. |

In light of above facts, this office has No Objection in proposed scheme of amalgamation of the company M/s. Busy Infotech Private Limited (Petitioner Company No. IV Transferor Company No. 1) PAN : AAACB5022A.

**Petitioner No.2/ Transferor Company No.2: Hello Trade Online Private Limited**

In this regard it is submitted that M/s Hello Trade Online Private Limited (Petitioner Company No. 2/ Transferor Company No.2) PAN: AACCH1466J in the scheme of amalgamation is under the jurisdiction of this charge i.e. ITO, Ward-11(1), New Delhi. The status of demand and other details in respect of said company is as under:

| | | |
|---|---|---|
| 1. | Whether there is any Income Tax Collectible demand pending against the Company? If yes, the quantum thereof may kindly be communicated. | As per the ITBA Portal/e-filing Portal there is no pending outstanding demand. |
| 2. | The details of any proceedings under the Income Tax Act pending against the company, if any | As per the ITBA Portal no assessment proceedings is pending in this case. |
| 3. | Any other details | As per E-filing portal latest ITR has been filed by M/s Hello Trade Online Private Limited (Petitioner Company No. 2/ Transferor Company No.2) PAN: AACCH1466J for |

| | | |
|---|---|---|
| | | AY 2023-24. All tax assessment proceedings and appeals of whatsoever, nature by or against the above said Company, pending or arising as at the effective date shall be continued and/or enforced by or against the Company in the same manner and to the same extent as would or might have been continued and enforced against Company.<br><br>The Department reserves its right to determine the tax implications of the under the scheme of reduction in share capital of company in accordance with the provisions of the I.T. Act, 1961 and the provisions of the I.T. Act, 1961 shall prevail over anything contrary provided under the same. |

In light of above facts, this office has No Objection in proposed schem of amalgamation of the company M/s. Hello Trade Online Private Limite (Petitioner Company No. 2/ Transferor Company No.2) PAN: AACCH1466 with transferee company M/s Tolexo Online Private Limited.

**Petitioner No.3/ Transferee Company:** Tolexo Online Private Limited

| S.N | Important components of the Proposal | Observation of the AO |
|---|---|---|
| 1. | Name of the Company in relation to which this report is submitted | M/s Tolexo Online Pvt. Ltd. (AAFCT0145B) |
| 2. | Details of proposal | Number of companies involved in scheme of Amalgamation:-<br><br>1. M/s Busy Infotech Pvt. Ltd. (Transferor Company-1)<br>2. M/s Hello Trade Online Pvt. Ltd. (Transferor Company-2)<br>3. M/s Tolexo Online Pvt. Ltd. (Transferee Company) |
| 3. | Details of any proceedings pending against applicant companies under the Income Tax Act. | Penalty Proceedings u/s 270A for A.Y. 2018-19 |
| 4. | Details of tax demand pending for recovery from the applicant company | Rs. 24,29,93,680 /- |
| 5. | Date of present report | 05-09-2024 |
| 6. | Remarks about objection to the scheme or any representation to NCLT to protect the interest of Revenue. | This office has no objection in the proposed scheme of amalgamation w.r.t.<br><br>1. M/s Tolexo Online Pvt. Ltd. (Transferee Company) |

(ii) The Petitioner Companies in their reply have stated that the ITD has explicitly given its 'No Objection' to the Scheme as below:

a. Transferor Companies No.1 &, 2: The ITD has confirmed that no demands or proceedings are outstanding against the Transferor Companies No.1 & 2 and has given its no objection to the proposed Scheme of Amalgamation to both the Transferor Companies No.1&, 2.

b. Transferee Company: The ITD has pointed out that a demand of Rs.24,29,93,680/- for the Assessment Year 2016-17 is pending and the Transferee Company has filed an Appeal against the aforesaid demand before the CIT (Appeals), which is yet to pass an order in the aforesaid Appeal. The ITD has also pointed out that penalty proceedings under Section 270A of the Income Tax Act, 1961 for the Assessment Year 2018-19 are pending and the Transferee Company has already submitted its response in this regard. The Transferee Company undertakes to make the payment, if any, as per the final outcome of the aforesaid appeal and penalty proceedings. The ITD has given its no objection to the proposed Scheme subject to protection of rights of the Income Tax Department.

(iii) The Petitioner Companies in their reply have clarified and confirmed that the Scheme will not adversely affect the rights of recovery of the ITD or any enquiry, investigation, scrutiny, or other proceedings, if any, being carried out by ITD against any of the Petitioner Companies. in terms of the provisions of the Scheme, all the liabilities of the Transferor Companies No.1 & 2 including tax liabilities, if any, will be transferred to and vested in the Transferee Company.

(iv) The Petitioner Companies in their reply have submitted that the Transferee Company is not a subject matter of dissolution pursuant to the Scheme

and will remain in existence even after the sanction of the Scheme and it undertakes to pay all present and future Income tax dues and other liabilities, on completion of the on-going appeal, proceedings, etc. and also to pay any demand that may be raised by the ITD or any other competent authority in terms of the applicable provisions of law subsequent to the sanction of the Scheme by this Tribunal. Further, it has no objection, if this Tribunal grants specific liberty to the ITD to take out appropriate proceedings for recovery of any Income Tax Dues from the Transferor Companies, Transferee Company or any other person, who is liable for payment of such dues.

(v) The Petitioner Companies in their reply have submitted that they are not seeking any exemption or relaxation from the applicability of the provisions of the Income Tax Act, 1961 as the Scheme is subject to the provisions of the Income Tax Act, 1961 and the Petitioner Companies undertakes to comply with the provisions of the Income Tax Act, 1961 to the extent applicable. Further, all the Petitioner Companies have filed up to date income tax return till Assessment Year 2023-24 and the copies of the Acknowledgements thereof are attached with the reply as Annexure 2.

(vi) During the course of the hearing dated 09.10.2024, the Senior Standing Counsel for the ITD has also stated that he has no objection regarding the Scheme.

**Reserve Bank of India**

11. The Reserve Bank of India (hereinafter referred to as the "**RBI**") has not filed its report/ representation. It is noted that as per the tracking report submitted along

with Affidavit of Service filed by the Petitioner Companies, the notice dated 06.08.2024 was served on the RBI on 12.08.2024, which states as under:

> In compliance with the order dated 26th July, 2024, passed by the Hon'ble Tribunal and in terms of the provisions of sections 230(5) & 232 of the Companies Act, 2013, and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions, if any, we are pleased to submit herewith the following documents for your kind perusal and comments, if any, bound in paper books for convenience:
>
> i. Formal Notice of the joint Petition in the requisite Form CAA.3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.
>
> ii. A copy of the Order dated 26th July 2024, passed by the Hon'ble National Company Law Tribunal, Chandigarh Bench-II, Chandigarh.
>
> iii. A complete set of physical paper book of 2nd motion joint Petition, as filed with the Hon'ble Tribunal.
>
> **You are hereby informed that representations, if any, in connection with the aforesaid Scheme of Amalgamation may be made to the Hon'ble National Company Law Tribunal, Chandigarh Bench-II, Corporate Bhawan, Plot No. 4-B, Ground Floor, Sector-27-B, Madhya Marg, Chandigarh-160 019 within thirty days from the date of receipt of this Notice. Copy of the representation may simultaneously be sent to the undersigned Legal Counsel of the Petitioner Companies.**

Since significant time has passed after issuance of notice, we consider it appropriate to proceed in the matter.

12. The Petitioner Companies have submitted at page 34 of the Petition that the provisions relating to the accounting treatment for the proposed amalgamation, as contained in the Scheme of Amalgamation, are in conformity with the applicable provisions of the Companies Act, 2013, Accounting Standards prescribed under section 133 of the Companies Act, 2013, and Generally Accepted Accounting Principles in India (Indian GAAP) and Certificates from the respective Statutory Auditors of the Transferor Companies No. 1 & 2 and of the Transferee Company on the accounting treatment, as proposed in the Scheme are attached as Annexure P-18 of the Petition.

13. We have heard the learned counsel for Petitioner Companies and perused the record carefully.

14. Subject to the Petitioner Companies complying with the requirement of various laws including the rules, and regulations, the permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on both the Transferor Companies and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with all the statutory requirements in accordance with law.

15. Notwithstanding the submission that no investigation is pending against the Petitioner Companies, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Companies.

16. While approving the scheme as above, it is clarified that this order should not be construed as approval by any statutory authorities viz. RBI, SEBI, CCI etc. or any sectoral regulator; or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment, if any, due or required in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the approval of the scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Company against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

17. This Tribunal do further order:

(I) Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2023, the Transferor Company shall stand dissolved without undergoing the process of winding up;

(II) All the property, rights and powers of the Transferor Companies No.1 and 2 be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Amalgamating Companies, but subject nevertheless to all charges now affecting the same;

(III) All the liabilities and duties of the Transferor Companies No.1 and 2 be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

(IV) The authorized share capital of the Transferee Company, after the Scheme becoming effective, shall be in accordance with Section 232(3)(i) of the Companies Act, 2013 and the fee, if any, paid by the Transferor Companies No.1 and 2 on its authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the amalgamation;

(V) The Transferee Company shall file the revised Memorandum and Articles of Association with the concerned RoC and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

(VI) The Transferee Company shall, without further application, allot to the existing members of the Amalgamating Companies, shares of Transferee Company to which they are entitled under the Scheme;

(VII) All proceedings pending, if any, by or against the Transferor Companies No.1 and 2 be continued by or against the Transferee Company;

(VIII) All the employees of the Transferor Companies No.1 and 2 shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Amalgamating Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(IX) All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, if pending against the Transferor Companies No.1 and 2 is transferred to the Transferee Company and shall be enforced and continued against the Transferee Company and all compliances under Income Tax Act, 1961 shall be made by Transferee Company after the Appointed Date. Further, the Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Companies No.1 and 2 as well as the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. The Transferee Company is also directed to discharge the outstanding demand, if any, found later against the

Transferor Companies No.1 and 2. Further, the Transferee Company shall be bound by its undertaking on behalf of all the Transferor Companies, involved in the present Scheme [Ref Para 10(iii) to 10(vi) of this Order];

(X) The Transferee Company will clear all the pending statutory dues after exercising all Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

(XI) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

(XII) As per the aforesaid directions and Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal order be issued to the petitioners to the filing of the Schedule of Properties within three weeks from the date of receiving the certified copy of this order.

18. The Petitioner Companies shall, within 30 days after the date of receipt of this Order, cause a certified copy of this Order to be delivered to the RoC for registration in prescribed form and on such certified copy being so delivered; the Transferor Companies No.1 and 2 shall be dissolved without undergoing the process of winding up. The concerned RoC shall place all documents relating to the Transferor Companies registered with him on the file relating to the said Transferee Company, and the files relating to the Transferor Companies and Transferee Company shall be consolidated accordingly, as the case may be.

19. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

20. The Company Petition CP(CAA) No.22/Chd/Hry/2024 is allowed and disposed of accordingly.

| | |
|---|---|
| **Sd/-** | **Sd/-** |
| **(Umesh Kumar Shukla)** | **(Harnam Singh Thakur)** |
| **Member (Technical)** | **Member (Judicial)** |

January 17, 2025
Vansh